



INTERIM FINANCIAL STATEMENTS

30 SEPTEMBER 2019



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 30 September

		Three Months Ended 30 September 2019 Unaudited	Three Months Ended 30 September 2018 Unaudited
	Note	Rs	Rs
Revenue		470,959,755	384,673,087
Gross written premium	3	424,477,927	333,911,721
Premium ceded to reinsurers	3	(29,739,275)	(11,416,923)
Net written premium		394,738,651	322,494,798
Other revenue			
Fee and commission income	3	7,884,944	7,139,288
Income from investments	5	66,268,010	53,506,402
Realise gain	3	-	-
Other income	3	2,068,149	1,532,599
Total other revenue		76,221,103	62,178,290
Net income		470,959,755	384,673,087
Net insurance benefits and claims paid		(82,031,518)	(30,906,035)
Net change in insurance claims outstanding		3,421,850	(4,633,897)
Underwriting and net acquisition costs		(174,318,915)	(141,193,029)
Change in contract liabilities - life fund		(86,625,190)	(103,769,569)
Other operating and administrative expenses		(109,623,533)	(87,081,466)
Net benefits and claims		(449,177,306)	(367,583,996)
Profit/(Loss) before tax		21,782,449	17,089,091
Income tax expense		-	-
Profit/(Loss) for the period		21,782,449	17,089,091

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 30 September

	Three Months Ended 30 September 2019 Unaudited	Three Months Ended 30 September 2018 Unaudited
Notes	Rs	Rs
Profit / (Loss) for the year	21,782,449	17,089,091
Other comprehensive income		
Other comprehensive income to be reclassified to profit or loss in subsequent periods		
Net change in fair value of available-for-sale assets	(2,622,236)	(169,376)
Fair value movement of AFS reserve transferred to life fund	2,622,236	169,376
Other comprehensive income not to be reclassified to profit or loss in subsequent periods		
Re-measurement gain on defined benefit plan	-	-
Other comprehensive income	-	-
Total comprehensive income for the period	21,782,449	17,089,091

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

		Nine Months Ended 30 September 2019 Unaudited Rs	Nine Months Ended 30 September 2018 Unaudited Rs
	<u>Note</u>		
Revenue		1,291,945,982	1,144,613,955
Gross written premium	3	1,105,813,231	1,001,826,560
Premium ceded to reinsurers	3	(54,016,181)	(28,673,270)
Net written premium		1,051,797,050	973,153,290
Other revenue			
Fee and commission income	3	22,092,031	20,222,480
Income from investments	5	190,666,347	146,604,545
Realise gain	3	21,327,018	-
Other income	3	6,063,537	4,633,640
Total other revenue		240,148,932	171,460,665
Net income		1,291,945,982	1,144,613,955
Net insurance benefits and claims paid		(202,169,890)	(93,313,923)
Net change in insurance claims outstanding		(2,721,504)	(3,597,273)
Underwriting and net acquisition costs		(493,184,978)	(418,950,960)
Change in contract liabilities - life fund		(222,365,180)	(335,512,083)
Other operating and administrative expenses		(307,560,772)	(245,050,002)
Net benefits and claims		(1,228,002,324)	(1,096,424,241)
Profit/(Loss) before tax		63,943,658	48,189,714
Income tax expense		-	-
Profit/(Loss) for the period		63,943,658	48,189,714

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Nine Months Ended 30 September

	Notes	Nine Months Ended 30 September 2019 Unaudited Rs	Nine Months Ended 30 September 2018 Unaudited Rs
Profit /(Loss) for the year		63,943,658	48,189,714
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		7,668,770	831,271
Fair value movement of AFS reserve transferred to life fund		(7,668,770)	(831,271)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other comprehensive income		-	-
Total comprehensive income for the period		63,943,658	48,189,714

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 30 September 2019

	Notes	30-Sep-19 Unaudited Rs.	31-Dec-18 Audited Rs.
Assets			
Property, plant and equipment		63,053,644	63,045,746
Right of use asset	7	121,041,093	-
Intangible asset		700,625	303,750
Financial assets	8	1,922,634,518	2,028,265,792
Loans to life policy holders		261,726,420	228,616,921
Reinsurance receivable		54,910,960	26,939,303
Amounts due from related party		45,767,250	26,907,609
Premium receivable		56,774,992	73,071,532
Other assets		73,441,706	74,414,275
Deferred tax asset		304,428,385	304,428,385
Cash and cash equivalents		620,615,887	170,483,254
Total assets		3,525,095,480	2,996,476,567
Equity and liabilities			
Shareholders' equity			
Stated capital		675,564,870	675,564,870
Revenue reserves		820,696,646	756,752,988
Total shareholders' equity		1,496,261,516	1,432,317,858
Liabilities			
Insurance provision - life	9	1,555,903,350	1,325,869,400
Employee benefit obligation		11,833,371	9,488,251
Reinsurance creditors		71,032,664	50,022,714
Lease creditors		140,177,607	
Amounts due to related party	11	4,401,680	7,184,537
Financial liabilities		173,098,488	115,608,712
Other liabilities		72,386,805	55,985,095
Total liabilities		2,028,833,964	1,564,158,709
Total liabilities and shareholders' equity		3,525,095,480	2,996,476,567

These financial statements are prepared in compliance with the requirements of the companies Act No. 07 of 2007.



 DGM -Finance & Operations
 (Melanga A Doolwala)

The board of directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (Viville Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

13 November 2019
 Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Nine Months Ended 30 September

	Notes	2019 Rs.	2018 Rs.
Operating activities			
Receipts from policyholders		1,122,109,773	1,037,263,941
Payment to reinsurer		(33,006,231)	(14,904,133)
Claims paid		(234,452,554)	(110,705,982)
Reinsurance receipts in respect of claims		33,006,231	14,973,133
Other operating cash payments		(520,098,505)	(507,916,664)
Cash inflow from operating activities		367,558,714	418,710,295
Tax paid		(5,059,380)	(11,283,483)
Net cash flows from operating activities		362,499,334	407,426,812
Investing activities			
Purchase of property and equipment		(17,427,975)	(24,142,626)
Purchase of intangible asset		(570,000)	-
Disposal of property plant and equipment		-	-
Net drawdown of investments		105,631,275	(534,957,206)
Net cash flows used in investing activities		87,633,300	(559,099,832)
Financing activities			
Proceeds from share issue		-	-
Stamp duty on share allotment		-	-
Dividend payment		-	-
Net cash flows used in financing activities		-	-
Net (decrease)/increase in cash and cash equivalents		450,132,634	(151,673,020)
Cash and cash equivalents at 1 January		170,483,254	320,778,531
Cash and cash equivalents at 30 September		620,615,888	169,105,511
Analysis of cash and cash equivalents			
Favourable balances			
Cash at hand		493,318	406,157
Cash at bank		620,122,570	168,699,354
Short term investments		-	-
		620,615,888	169,105,511
Unfavourable balances			
Bank overdrafts		-	-
Total cash and cash equivalents		620,615,888	169,105,511

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Nine Months Ended 30 September

	Stated Capital Rs.	AFS reserve Rs.	Revenue Reserve Rs.	Total Rs.
Balance as at 1 January 2018	675,564,870	-	257,632,154	933,197,024
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	48,189,714	48,189,714
Dividend declared			-	-
Unaudited balance as at 30 September 2018	675,564,870	-	305,821,868	981,386,738
Issue of share capital	-	-	-	-
Share issue expenses	-	-	-	-
Dividend declared	-	-	-	-
Other comprehensive income	-	-	(63,679)	(63,679)
Net profit for the period	-	-	450,994,799	450,994,799
Audited balance as at 31 December 2018	675,564,870	-	756,752,988	1,432,317,858
Issue of share capital	-	-	-	-
Other comprehensive income	-	-	-	-
Net profit for the period	-	-	63,943,658	63,943,658
Dividend declared	-	-	-	-
Unaudited balance as at 30 September 2019	675,564,870	-	820,696,646	1,496,261,516

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these condensed interim financial statements for the period ended 30th September 2019 are provisional and unaudited.
- The condensed interim financial statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the audited financial statements - 2018 have been followed in preparation of these condensed interim financial statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Nine Months Ended 30 September Unaudited 2019 Rs	NineMonths Ended 30 September Unaudited 2018 Rs	Three Months Ended 30 September Unaudited 2019 Rs	Three Months Ended 30 September Unaudited 2018 Rs
3. REVENUE					
	Notes				
Gross written premium	4(a)	1,105,813,231	1,001,826,560	424,477,927	333,911,721
Premium ceded to reinsurers	4(b)	(54,016,181)	(28,673,270)	(29,739,275)	(11,416,923)
Net written premium		1,051,797,050	973,153,290	394,738,651	322,494,798
Fees and commission income		22,092,031	20,222,480	7,884,944	7,139,288
Investment income		190,666,347	146,604,545	66,268,010	53,506,402
Other operating revenue		6,063,537	4,633,640	2,068,149	1,532,599
Realise gain		21,327,018	-	-	-
Total revenue		1,291,945,982	1,144,613,955	470,959,755	384,673,087
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
Conventional policies		1,105,813,231	1,001,826,560	424,477,927	333,911,721
Total gross written premiums		1,105,813,231	1,001,826,560	424,477,927	333,911,721
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional policies		(54,016,181)	(28,673,270)	(29,739,275)	(11,416,923)
Total premiums ceded to reinsurers		(54,016,181)	(28,673,270)	(29,739,275)	(11,416,923)
Total net written premiums		1,051,797,050	973,153,290	394,738,651	322,494,798
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		40,418,055	49,542,286	12,444,776	16,146,792
Loans and receivables interest income		150,248,292	97,062,259	53,823,234	37,359,610
Total investment income		190,666,347	146,604,545	66,268,010	53,506,402

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Nine Months Ended 30 September Unaudited 2019 Rs	Nine Months Ended 30 September Unaudited 2018 Rs	Three Months Ended 30 September Unaudited 2019 Rs	Three Months Ended 30 September Unaudited 2018 Rs
Profit /(Loss) for the year	63,943,658	48,189,714	21,782,449	17,089,091
Weighted average number of ordinary shares (Nos)	67,556,487	67,556,487	67,556,487	67,556,487
Basic earnings / (loss) per ordinary share Rs	0.95	0.71	0.32	0.25

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. Initial Application of SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases. This introduces a single, on-balance sheet lease accounting model for lessees. The standard removes the current distinction between operating and financing leases and requires recognition of an asset and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short term and low-value leases. Lessor accounting remains similar to the current standard. Lessee will be required to separately recognize the interest expense on the lease liability and depreciation expense on the right-of-use asset.

The company as a lessee has applied SLFRS 16 as initial application of 01st January 2019 using the modified retrospective approach at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis and therefore the comparative information has not been restated and continuous to be reported under LKAS 17 at the present value of the remaining lease payments discounted using the incremental borrowing rate, on the lease-by-lease basis.

	30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
7(a) Right of use lease asset		
Opening right of use lease asset as at 01st January	137,413,781	-
Additions of right of use lease asset during the period	22,809,306	-
Net depreciation for the period	(46,821,994)	-
Rent payable		
Advance payment for leases	7,640,000	-
Closing right of use lease asset as at 30th September	121,041,093	-
7(b) Amount recognised in statement of profit or loss		
Lease depreciation	(35,937,342)	-
Amortization of advance	(10,884,652)	-
	(46,821,994)	-
7(c) Lease liability (lease creditor)		
Opening lease creditor as at 01st January	123,998,064	-
Additions during the period	25,844,474	-
Finance cost recognised in profit and loss	14,473,503	-
Lease payments	(24,138,434)	-
Closing lease creditors as at 30th September	140,177,607	-

8. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
Loans and receivables	1,604,482,490	1,507,403,917
Available-for-sale financial assets	318,152,028	520,861,875
Total financial instruments	1,922,634,518	2,028,265,792

The following table consists of the fair values of the financial investments together with their carrying values.

	30-Sep-19 Carrying value Unaudited Rs	30-Sep-19 Fair value Unaudited Rs	31-Dec-18 Carrying value Audited Rs	31-Dec-18 Fair value Audited Rs
Loans and receivables	8 (a). 1,604,482,490	1,604,482,490	1,507,403,917	1,507,403,917
Available-for-sale financial assets	8 (b). 318,152,028	318,152,028	520,861,875	520,861,875
Total financial instruments	1,922,634,518	1,922,634,518	2,028,265,792	2,028,265,792
8 (a). Loans and receivables			30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
Investment in corporate debt			914,488,743	754,152,042
Investment in fixed deposit			416,411,022	342,069,407
Investment in repos			313,582,725	397,985,002
Investment in commercial papers			-	53,197,466
Provision for impairment			1,644,482,490	1,547,403,917
			(40,000,000)	(40,000,000)
			1,604,482,490	1,507,403,917
8 (b). Available for sale financial assets			30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
Investments in government securities			318,152,028	520,861,875
			318,152,028	520,861,875

9. INSURANCE CONTRACT LIABILITIES		30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
Balance as at beginning		1,325,869,400	1,025,457,000
Change in contract liabilities life fund			
Increase in life insurance fund before surplus transfer	9 (a)	222,365,180	442,808,983
Surplus transferred from share holders		-	(133,076,787)
Increase in life insurance fund		222,365,180	309,732,196
Movement in AFS reserve transferred to life fund		7,668,770	(9,319,796)
Balance as at end of the periods		<u>1,555,903,350</u>	<u>1,325,869,400</u>

9 (a) Increase in life insurance fund before surplus transfer

	2019 September (Unaudited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,105,813,231	(54,016,181)	1,051,797,050
Liabilities paid for death, benefits and claims	(265,869,283)	60,977,888	(204,891,394)
Underwriting and net acquisition costs	(493,184,978)	-	(493,184,978)
Fees (deducted)/received	28,155,567	-	28,155,567
Investment return	126,714,688	-	126,714,688
Realise gain	21,327,018	-	21,327,018
Other operating and administrative expenses	(307,552,771)	-	(307,552,771)
As at 30 September 2019	<u>215,403,472</u>	<u>6,961,708</u>	<u>222,365,180</u>

	2018 December (Audited)		
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,387,432,252	(41,327,272)	1,346,104,980
Liabilities paid for death, benefits and claims	(197,416,375)	28,469,805	(168,946,570)
Underwriting and net acquisition costs	(563,453,833)	-	(563,453,833)
Fees (deducted)/received	33,288,015	-	33,288,015
Investment return	123,832,604	-	123,832,604
Realise gain	13,823,318	-	13,823,318
Other operating and administrative expenses	(341,839,533)	-	(341,839,533)
As at 31 December 2018	<u>455,666,447</u>	<u>(12,857,467)</u>	<u>442,808,983</u>

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant actuaries for the year ended 31st December 2018 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2018 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

10. TAXATION AND DEFERRED TAX

Arpico Insurance PLC is liable for income tax at 28% (2018 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

Deferred taxation is provided using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the tax base of assets and liabilities, which is the amount attributed to those assets and liabilities for tax purposes. The amount of deferred tax provided is based on the expected manner of realization or settlement of the carrying amount substantively enacted by the reporting date.

Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly the company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognized amounting to Rs. 304 Mn.

11. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	30-Sep-19 Unaudited Rs	31-Dec-18 Audited Rs
Richard Pieris Distributors Limited	Affiliate	3,492,084	4,768,637
Arpitech (Pvt) Ltd	Affiliate	369,173	467,980
Arpico Interiors (Pvt) Ltd	Affiliate	99,722	701,109
Richard Pieris Finance Ltd	Affiliate	-	1,246,811
RPC Logistics (Pvt) Ltd	Affiliate	440,700	-
		4,401,680	7,184,537

12. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30th September 2019, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

13. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Nine months Ended 30 September

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 30th September 2019	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS PLC	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,633,776	2.47
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.H.V.SENAWEERA	440,053	0.66
7 MRS.M.P.B. FERNANDO	425,000	0.64
8 MR.S.SIVASHANTH	400,000	0.60
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
10 MR.B.A.R.DISSANAYAKE	200,000	0.30
11 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	155,000	0.23
12 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
13 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
14 MR.F.N.HERFT	143,811	0.22
15 MR.M.L.A.BENEDICT	122,890	0.19
16 MR.T.A.N.GOMIS	109,878	0.17
17 MR.S.A.OBEYESEKERE	103,300	0.16
18 FLYBRUNEI SDN BHD	99,700	0.15
19 MR.P.B.PERERA	88,544	0.13
20 ASSETLINE LEASING COMPANY LTD	79,459	0.12
	<u>64,769,813</u>	<u>97.80</u>

Public shareholding

	As at 30th September 2019	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shares	<u>6,630,404</u>	<u>10.01</u>
Float adjusted market capitalization		139,238,484
	As at 30th September 2019	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of shareholders	<u>614</u>	<u>99.35</u>

Directors' shareholdings

There is no share holding by the directors as at 30th September 2019

Number of Shares

No. of shares representing the stated capital	66,230,407
Class of share	Ordinary
Voting rights	One vote per Ordinary Share

Share performance

Net asset value per share as at 30th September 2019	22.6
Highest price per share for the interim period	20.0
Lowest price per share for the interim period	16.4
Last traded price per share as at 30th September 2019	17.1